

4-1a What Is a Market?

A market (a group of buyers and sellers of a particular good or service) is a group of buyers and sellers of a particular good or service. The buyers as a group determine the demand for the product, and the sellers as a group determine the supply of the product.

Markets take many forms. Some markets are highly organized, such as the markets for agricultural commodities like wheat and corn. In these markets, buyers and sellers meet at a specific time and place. Buyers come knowing how much they are willing to buy at various prices, and sellers come knowing how much they are willing to sell at various prices. An auctioneer facilitates the process by keeping order, arranging sales, and (most importantly) finding the price that brings the actions of buyers and sellers into balance.

More often, markets are less organized. For example, consider the market for ice cream in a particular town. Buyers of ice cream do not meet together at any one time or at any one place. The sellers of ice cream are in different locations and offer somewhat different products. There is no auctioneer calling out the price of ice cream. Each seller posts a price for an ice-cream cone, and each buyer decides how many cones to buy at each store. Nonetheless, these consumers and producers of ice cream are closely connected. The ice-cream buyers are choosing from the various ice-cream sellers to satisfy their cravings, and the ice-cream sellers are all trying to appeal to the same ice-cream buyers to make their businesses successful. Even though it is not as organized, the group of ice-cream buyers and ice-cream sellers forms a market.